

FORECASTING

STUDENT : SUHIB ALQWASMI

SD11908

ASSISTANT : HAMZAH ALMANASEER

قائمة المحتويات

		الوحدة :1

(Start-up costs)

Restaurant leasing costs, marketing costs, staff hiring and training costs, and equipment and ingredient purchasing costs..

(Operating costs)

- 1- The cost of food supplies
- 2- The cost of rent
- 3- Insurance
- 4- Equipment maintenance
- 5- Marketing and advertising
- 6- Licenses and permits
- 7- Cleaning equipment
- 8- Services

(Variable costs)

- 1- Materials
- 2- Commission
- 3- Packaging

(Fixed costs)

- 1- Insurance premiums
- 2- Utility bills (gas, electricity, telephones)
- 3- Rent
- 4- Business management fees.

(The law of total profit)

(Gross profit = total sales revenue - cost of sales)

Sales quantities x selling price	15.000
Sales cost	8000
Gross profit =	7000

(Net profit)

(Net profit law)

Net profit = gross profit – expenses

Gross profit	7000
Expenses	5700
Net profit =	1300

Calculate the gross and net profit from the above numbers and clearly explain the difference between these terms?

Quantities sold: 1,000. The selling price of the piece is \$15. The total cost of sales is \$8,000 and the total expenses (mortgage - electricity - wages - insurance) = \$5,700.

Successful business

Calculating costs, revenues, and profits helps produce a successful business, as they are both linked to each other

Costs:

are what the establishment pays in terms of the value of work materials and indirect expenses to produce a specific good

Revenues:

are the total amount of money that an establishment earns from selling goods and services, and profits are the amount of commercial gain from a service, commercial, or industrial project.

There is no successful project that depends on costs, revenues, and profits.

Activity (2)

Total costs = fixed costs + variable costs = 3150 + 8000 = \$11,150

Gross profit = sales - total costs = 15000 - 11150 = 3850

Break-even point = fixed costs ÷ (selling price - variable costs)

= 3150 ÷ (15 - 8) = 3,150 ÷ 7 = 450 pizzas

Margin Man must sell 450 pizzas every month in order to achieve the break-even point (no profit or loss).

1- Break-even point = 2800 ÷ (17 - 8) = 400 pizzas.

2- Break-even point = 3500 ÷ (17 - 8) = 389 pizzas.

Activity (3)

Six-month cash flow forecast?

الشهر	يناير	فبراير	مارس	أبريل	مايو	يونيو
الافتتاحي	500					
مجموع الإيرادات	14500	15500	17500	16500	16000	18500
مجموع المصاريف	17400	15400	17050	15000	14500	18000
الفرق بين الإيرادات و المصروف	2400	100	450	1500	1500	500
إضافة ما تبقى من الأشهر السابقة		2400	2300	1850	350	1150
ناتج التدفقات النقدية	2400	2300	1850	350	1150	1650

Summarize the purpose?

Of course, summarizing the purpose means giving a quick and brief overview of the goal or purpose of something. It is to extract a specific meaning or purpose in a brief and useful way.

Explain the measures that can be taken to improve cash flow forecasts while showing the impact on the closing balance?

1- Continuous improvement

Regularly evaluate and modify models based on new evidence to improve the accuracy of forecasts.

2- Interaction with external factors

Monitoring external factors such as changes in the market or economic conditions to adjust expectations according to new conditions.

3- Providing periodic reports and analyses

Presenting forecasts and analyzes on a regular basis for better understanding and making optimal decisions.

Conclusion: To evaluate the use of break-even analysis and cash flow forecasting when establishing a business project, should you consider the effects and benefits of using both tools to support business planning?

Using cash flow break-even analysis is an important tool in evaluating the feasibility of commercial projects. Break-even point analysis helps determine the minimum revenues required to cover costs, while cash flow forecasting gives a view of long-term financial expectations.

1- Transparency and accuracy

It is necessary for the report to be transparent and accurate in the data and information used in these tools to facilitate understanding and evaluating decisions.

2- Integration with other data

Your usage report must be integrated with other available data to ensure that decisions are made on an integrated and comprehensive basis.

